

▶ **SEVERAL YEARS AGO,** corporate veteran Arun Duggal was part of a board discussion to consider firing an otherwise thoroughly professional company secretary who had made a grave error. While the board was focussed on the severity of the mistake, Duggal recalls its only woman director pointing out: How can you punish a person for making an honest mistake that any one of us could have made? “She went a step further and said, ‘Have you considered how terrible he must be feeling? We should tell him it was a mistake that embarrassed

us. But it happens, so let us move on,’” says the Chairman of ratings agency ICRA, who is a former CEO of Bank of America, India.

Duggal—who co-founded industry body Ficci’s Women on Corporate Boards programme with Avaana Capital’s Founding Partner Anjali Bansal to identify and mentor high-potential women for board positions through one-on-one mentorships—says the discussions are always richer when women are on the board. Mark Mobius, the guru of emerging market investing, agrees. “I don’t care what the sector is; it is good to have a woman on the

board. More than that, maybe the chairperson as a woman... I really think that women directors are very important to a company,” he says. “The decisions are more balanced. There is more empathy in difficult situations,” adds Duggal, as he lists out more than half a dozen traits that make women valuable additions to the board.

But why should including more women on boards come with specific benefits any more than with men? With women accounting for half the world’s population and half the customer base of most companies, it should be but natural for the top body to be representative, say experts. India’s current and first full-time woman Finance Minister, Nirmala Sitharaman, had put it emphatically: “We are not asking for inclusivity. We are not asking for gender parity. You want more profit, get me in.” Sitharaman said this at a women directors’ conclave in Mumbai in September 2022, referring to data showing that companies with women on their boards turned in more profits.

In the nearly 10 years since markets regulator the Securities and Exchange Board of India (Sebi) made it compulsory for listed companies—subject to certain criteria—to have at least one woman director on their board, the needle is surely and steadily moving. An EY report from October 2022 shows that women’s representation on Indian corporate boards has tripled from 6 per cent in 2013 to 18 per cent in 2022. As per primeinfobase’s analysis of Nifty 500 companies, the absolute number of women directors in India has more than doubled since 2015, after the Sebi guidelines became effective. But a closer look reveals that the country is still some distance away from going beyond checking the boxes.

A Long Way to Go

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- 1 **Women’s representation on corporate boards of Nifty 500 companies has tripled to 18 per cent in 2022 from 6 per cent in 2013**
- 2 **Almost 95 per cent companies of the Nifty 500 have at least one woman board member compared to 69 per cent in 2017**
- 3 **More than 40 per cent have gone beyond the regulatory mandated limit to appoint more than one woman board member. But less than 5 per cent have a woman as the chairperson**
- 4 **The Nomination and Remuneration Committee (NRC) and Audit Committee of the boards of Nifty 500 companies are customarily reserved for male board members. But this is changing**
- 5 **NRC had 13 per cent women board members in 2017. In 2020, this had increased to 18 per cent. Audit had 12 per cent women board members in 2017. In 2020, this had increased to 16 per cent**

SOURCE EY’S ‘DIVERSITY IN THE BOARDROOM’ REPORT